BUSINESS BANK · BUSINESS BANKING TRANSFORMATION OFFICE · BB-BLP-BPR

2.1 Design Principles

The rules every target-state design decision is tested against

Deliverable	2.1 Design principles for the business lending target state
Version	0.9 – for Design Authority sign-off, Week 8 (w/c 4 January 2027). Becomes v1.0 on signature; changes thereafter only by Design Authority decision recorded in the decision log
Derived from	1.9 underlying causes U1–U6; 1.6 control inventory; 1.8 protected fields; RFP constraints (fit-to-standard, regulatory data, risk governance); charter objectives O1–O7
Owner	WS1 Journeys & Process (BPR/TOM Lead)
Signed by	Design Authority: Head of Lending Operations (Chair), Head of Credit Risk Policy, Senior Operational Risk Manager, Head of MI & Regulatory Reporting, Replacement Solution Architect, Senior RM, Head of Lending Services, Head of Fulfilment

1. Why principles come before maps

A to-be map is a sequence of decisions: keep this step, remove that one, move this check earlier, automate that one. Without agreed principles, each decision is argued on its own and the loudest view wins; the result is the current process with fewer boxes. With principles signed first, each decision is tested against a rule the Design Authority has already accepted, and only the genuinely new questions reach the Authority.

The ten principles below were not invented for this phase. Each is the design response to one of the six underlying causes established in Phase 1, or to a constraint the RFP imposed. The table shows the lineage.

Principle	Responds to	Evidence in Phase 1
DP-01 Route by risk and materiality, not by deal type	U1	1.3: 82% common decision flow; renewals on the new-money path; SR/SD already fast-tracked
DP-02 Every control is a rule the system applies and records	U2	1.6: 24 of 28 controls manual; DA determined by hand on system-held data
DP-03 No control is removed or automated without equivalence	RFP §7; U2	1.6: 4 regulatory controls; second-line sign-off required
DP-04 Every wait has an owner, a timer and a task	U3	1.9: PP-39; no SLA, queue or escalation anywhere
DP-05 Triggers are system events that open work in context	U3	1.9: PP-03, PP-04; report-based renewal trigger; five-step manual start
DP-06 Documents and requests are generated, delivered, received and evidenced on the platform	U4	1.7: W-06 to W-10; 3-month reset; off-platform letters
DP-07 Rework paths are designed, bounded and measured	U4	1.2: two unbounded loops on every Deal & Credit map
DP-08 Distress is surfaced by data before effort is spent	U5	1.9: RC-08; screen after full assessment
DP-09 Capture once, at source, with a named owner; protected fields are a constraint	U6; RFP §7	1.8: lineage undocumented; 5 field groups at high redesign risk
DP-10 Standard before custom; configure before build	RFP §7 fit-to-standard	1.7: 13 of 23 workarounds expected native

How the principles are used

- Every design decision in 2.3, 2.4 and 2.8 cites the principle(s) it applies. A decision that cites none is returned.
- A decision that conflicts with a principle is escalated to the Design Authority with the conflict stated; the Authority may grant an exception, recorded with reason and expiry.
- Where two principles conflict, the precedence in section 3 applies.
- The principles bind the Replacement Programme's configuration of these journeys through the requirements pack (2.8), which cites them.

2. The principles

DP-01 · Route by risk and change materiality, not by deal type	U1 · levers L1, L5, L12
Statement	The path a deal follows is determined by its risk attributes and the materiality of what is changing, evaluated from system-held data. Deal type is a parameter that sets rules within a pattern; it does not define a workflow.
Permits	Fast-track routes for low-risk unchanged renewals and administrative variations; exception-only Credit involvement for pre-approved drawdowns; one configured decision flow with parameters.
Forbids	A new workflow per deal type; routing that cannot be explained by a stated rule; “if required” steps with no criterion.
Test	Can this step’s inclusion or exclusion for a given deal be stated as a rule on data the system holds at that point? If not, either capture the data or the step applies to all.
Arbiter	Head of Credit Risk Policy on routing criteria; Design Authority on pattern structure.
Known tension	With DP-03: a fast-track that bypasses a Credit assessment must show equivalence (2.5) or a policy decision extending authority. With DP-10: the platform must support rule-based routing natively or the routing goes on the custom list.

DP-02 · Every control is a rule the system applies and records	U2 · levers L3, L9
Statement	Each control in the inventory (1.6) is expressed as a rule with defined inputs, a defined outcome and recorded evidence (what was checked, against what, by whom or what, when). Judgement is retained where policy requires it, but the fact and basis of the judgement are recorded.
Permits	Automated delegated-authority determination with recorded authority level and rule version; rules tables per pattern × risk band for required analytics and documents; manual override with reason.
Forbids	Controls that exist only as practice; checks performed on data the system holds without the system recording the check; approvals without a recorded authority level.
Test	For this control: what are the inputs, what is the rule, what evidence is written, and where is the policy reference? Any blank fails.
Arbiter	Head of Credit Risk Policy (rule content); second-line Risk (evidence sufficiency).
Known tension	With DP-10: rules engines vary in depth; rules the platform cannot express natively are custom (2.7) or remain manual with recorded evidence.

DP-03 · No control is removed or automated without equivalence	RFP §7 · 1.6 · deliverable 2.5
Statement	A to-be map is not approved while it eliminates or automates a control without a corresponding entry in the control equivalence register (2.5) showing the replacement control, the evidence it produces, the residual risk, and the second-line decision. Regulatory controls (C15, C17, C27 and the KYC element of C1) are retained in every option; only their mechanism may change.
Permits	Automation that strengthens a control (system check replacing manual); relocation of a control earlier in the flow; consolidation of duplicate checks.
Forbids	Removal justified by speed alone; “we never use it” as evidence; changes to regulatory capture or timing without parallel-run reconciliation.
Test	Is there a signed register entry for this change? If the answer is a policy question rather than an equivalence question, route to Credit Risk Policy and retain the as-is control until answered.
Arbiter	Second-line Risk (equivalence); Head of Credit Risk Policy (policy questions).
Known tension	With DP-01 and DP-07: the fast-track and the graduated staleness control are the two largest equivalence cases; they are opened first.

DP-04 · Every wait has an owner, a timer and a task U3 · levers L5, L7	
Statement	Wherever a deal stops moving, the system knows who it is waiting on, how long it has waited, what the expected duration is, and what happens when that is exceeded. Hand-offs between teams create a task in the receiver's queue, visible to the sender.
Permits	Queues per team with SLAs; timers and escalations; customer-side waits tracked (letters, information requests); queue position visible to the RM.
Forbids	Hand-offs by message, email or report; stages that end at "ready" with no receiver task; open-ended waits; batch jobs standing in for timers.
Test	At this point, if nothing happens for ten working days, who is notified and what do they see?
Arbiter	Head of Lending Operations (SLAs and ownership); Design Authority.
Known tension	Team ownership of SLAs is an operating-model decision (2.9), not a configuration decision; the design must not set SLAs nobody has agreed to own.

DP-05 · Triggers are system events that open work in context U3 · lever L2	
Statement	Work begins from a system event (review date, customer request logged, early-warning flag, referral) that opens the deal with the customer, parties, existing facilities and balances already loaded. The deal start is one shared component with two entry variants (new customer; existing relationship).
Permits	Renewal tasks generated from review dates; landing page as a work queue; single sign-on; lead capture that becomes a deal without re-keying.
Forbids	Reports as the trigger for routine work; repeating the login–search–locate–retrieve sequence per deal; an opportunity record that adds a step without adding information.
Test	When this journey starts, what does the user already see without searching?
Arbiter	Design Authority; Solution Architect on platform capability.

DP-06 · Documents and requests are generated, delivered, received and evidenced on the platform U4 · levers L4, L8, L11, L15	
Statement	Facility letters, security instructions, strategy memos and information requests are produced from deal data, delivered through the platform, returned or answered through it, and their status is a system fact. Terms exist in the system before they exist in a document.
Permits	Template-driven letters per pattern and product incl. tranches and shadow limits; e-delivery and e-signature with a wet-ink exception path; structured information requests; security instruction generated from approval conditions.
Forbids	Off-platform letters or memos; manual issue by email; document checks that cannot reconcile to system terms; requests to customers tracked in mailboxes.
Test	Can the system state, for this document, when it was issued, to whom, whether it was returned, and that its content matches the approved deal?
Arbiter	Head of Lending Operations; Solution Architect (capability); Lending Services (security documents).
Known tension	With DP-10: if the platform lacks e-signature natively, this principle justifies a custom or partner integration; the Design Authority decides whether the value (OP-15) warrants it.

DP-07 · Rework paths are designed, bounded and measured U4 · levers L5, L11	
Statement	Deferral, decline, appeal, post-approval change and staleness are first-class paths with defined entry criteria, a maximum number of iterations or elapsed time, an escalation, and a measured rate. Prevention precedes handling: the submission standard is enforced before submission so that rework is the exception.
Permits	Structured deferral with at most two loops before escalation; graduated staleness control replacing the hard reset; materiality rules for post-approval change; decline reason codes.
Forbids	Loop-back arrows with no limit; full re-approval for non-material change or timing failure; declines without a recorded reason.
Test	For this loop: what is the maximum, what happens at the maximum, and which metric in 1.4 reports it?
Arbiter	Head of Credit (Credit-side loops); Head of Lending Operations.

DP-08 · Distress is surfaced by data before effort is spent U5 · lever L10	
Statement	Early-warning indicators the system already holds (arrears, grade migration, covenant breach, forbearance) are combined into a flag shown at deal creation and on the work queue, so that referral is prompted before analysis and assessment effort, and so that distressed connections are excluded from fast-track routes. A referral is a record on the connection, not a transfer of a file.
Permits	Referral prompts; exclusion criteria for DP-01 routes; parallel Credit and SBS review where CAP policy allows.
Forbids	A distress screen that sits only after full assessment; referral dependent solely on RM judgement; sequential re-reading of the same memo by two authorities without a policy reason.
Test	Would the system have flagged this connection before the RM opened the deal?
Arbiter	Head of SBS; Head of Credit Risk Policy (CAP policy).

DP-09 · Capture once, at source, with a named owner; protected fields are a constraint U6 · RFP §7 · levers L14, L15	
Statement	Every data element has one capture point, a structured form, and a named business owner. The protected-fields list (1.8 §6) is a constraint on every design decision: a lever that touches a P1 field must show where and when the field is captured in the to-be and must plan a parallel-run reconciliation at cut-over. Measurement (stage timestamps, task time) is designed in, not surveyed afterwards.
Permits	Pull-through from CIF and product systems; structured memos; reason codes; old-to-new deal-type mapping for history.
Forbids	Re-keying between systems; free text where a code is reportable; removing or re-timing a reporting field without the owner's sign-off; designs whose benefit cannot be measured from the platform.
Test	For every field this step creates or changes: who owns it, which report uses it, and is it captured here or earlier?
Arbiter	Head of MI & Regulatory Reporting; named field owners.

DP-10 · Standard before custom; configure before build RFP §7 · lever L13 · deliverable 2.7	
Statement	Where the replacement platform provides a standard lending process or capability, the design adopts it unless a documented business, regulatory or control reason requires deviation. Each to-be step is classified Fit, Configure, Custom or Gap (2.7); the custom list is short, justified and approved as a whole by the Design Authority.
Permits	Adapting a to-be map to the platform's standard sequence where the outcome is the same; retiring workarounds in favour of native capability; parameterising rather than customising.
Forbids	Rebuilding a workaround because it is familiar; custom build to preserve a step DP-01 to DP-09 would remove; "as-is on the new system" as a fallback.
Test	Does the platform do this as standard? If yes, why not use it? If no, which principle requires it?
Arbiter	Replacement Solution Architect (what is standard); Design Authority (whether deviation is justified).
Known tension	With DP-06 and DP-01 where the platform is weaker than the design requires. The Design Authority resolves by value: custom is justified where an opportunity in 1.10 of size L or XL depends on it.

3. Precedence, exceptions and the decision record

3.1 Precedence when principles conflict

1. **DP-03 and DP-09 are constraints.** They are never traded off. A design that cannot satisfy them is changed, not excepted.
2. **DP-01, DP-02, DP-04, DP-06, DP-07, DP-08 define the target.** Where two conflict, the one that addresses the higher-scoring underlying cause (1.9 §6) takes precedence, and the conflict is recorded.
3. **DP-05 and DP-10 govern how the target is reached.** They yield to the target principles where the Design Authority judges the value justifies it, by reference to 1.10.

3.2 Exceptions

An exception is granted only by the Design Authority, in a sitting, recorded in the decision log with: the principle excepted, the decision it applies to, the reason, the residual consequence, and an expiry or review point. Exceptions are reported in the G2 pack. An exception to DP-03 or DP-09 is not available.

3.3 Design decision record

Every decision in 2.3, 2.4, 2.7 and 2.8 is logged in this form. Decisions without a principle citation are returned to the workstream.

Field	Content
DDR-nnn	Sequential identifier
Decision	What was decided, in one sentence, with the step or rule reference
Principles applied	DP-nn; and any principle in tension, with how it was resolved
Options considered	Including “retain as-is”
Evidence	Phase 1 reference (pain point, control, workaround, metric)
Control impact	None / strengthens / equivalence register entry CE-nnn / policy question routed
Data impact	Field groups touched (1.8 §5); protection level
Fit-gap	Fit / Configure / Custom / Gap (2.7)
Decided by; date	Workstream lead; Design Authority where escalated

3.4 Worked example

DDR-001	Renewals meeting the eligibility rule are approved within line authority without transfer to Credit (P2 fast-track route)
Principles	DP-01 (route by risk); DP-02 (eligibility as a recorded rule); DP-08 (early-warning flag as exclusion). In tension with DP-03: Credit assessment (C6) is bypassed for eligible deals → equivalence entry CE-001 (automated DA determination C5 with recorded authority; eligibility rule; post-approval sampling by Credit) and policy question PQ-001 (extension of renewal authority) routed to Credit Risk Policy. Route is implemented only on PQ-001 answered.
Options	(a) retain full Credit route for all renewals; (b) fast-track within existing authority if policy already permits; (c) fast-track with extended authority; (d) tiered: (b) now, (c) on policy decision. Chosen: (d).
Evidence	PP-09 (score 25); A1 confirmed; A2 cohort share and outcomes (1.4 step 8); SR/SD precedent.
Data	F04 limits and dates, F06 risk grade (P1): grade refresh rule required on fast-track; F07 authority level captured.
Fit-gap	Configure if platform routing supports rule evaluation on grade, limit delta, covenant status, flags; else Custom (rules engine).

4. Sign-off

By signing, each member confirms that the principles are the agreed basis for the target-state design and that design decisions citing them will not be re-opened on grounds the principles already settle.

Role	Name	Signature	Date
Head of Lending Operations (Chair)			
Head of Credit Risk Policy			
Senior Operational Risk Manager (second line)			
Head of MI & Regulatory Reporting			
Replacement Programme Solution Architect			
Senior Relationship Manager (Strategic Finance)			
Head of Lending Services			
Head of Fulfilment			
Engagement Lead (partner)			

Version control: v1.0 on signature. Subsequent changes by Design Authority decision only, logged as DDR entries against this document.